

MOSS v IRONSTONE AMPITHEATRE, et al

24CV47251

DEFENDANT RICHTER'S MOTION TO SET ASIDE DEFAULT

This personal injury case arises out of Plaintiff Sharon Moss's alleged trip and fall at the Ironstone Amphitheatre on August 18, 2022. Richter Entertainment Group ("REG") is a named defendant. Now before the Court is Richter's motion to vacate default.

Code of Civil Procedure section 473 authorizes the Court to set aside a default and grant leave to defend the action on grounds of "mistake, inadvertence, surprise or excusable neglect." (Code Civ. Proc., § 473(b).) The motion for discretionary relief must be filed within six months after the clerk's entry of default. Here the original motion was filed on October 17, 2024, and the amended motion on November 14, 2024. The motion is timely.

On April 8, 2024, Larry Richter, President of REG, was personally served at his home in Ft. Lauderdale, Florida. (Declaration of Larry Richter ("Richter Dec."), ¶7.) Mr. Richter forwarded the Summons and Complaint to his insurance broker the following morning. (Richter Dec., ¶8.) As part of her custom and practice, insurance broker Ms. LaFever forwarded the Summons and Complaint she received to his insurer that same day of April 9, 2024. (LaFever Dec. ¶9.)

The insurer confirmed receipt of the Summons and Complaint and assigned it to a claims adjuster. (Lefever Decl. ¶ 3.) However, the claim was subsequently transferred to another claims adjuster, who was not aware that the matter had not been accepted by a defense firm or counsel. (Declaration of Carol Driscoll ("Driscoll Decl.") ¶ 12.) The insurance carrier had not received any information to reflect that its insured was in jeopardy of having a default entered. (*Id.* ¶ 13.) The insurer was only aware that the matter had not been assigned to defense counsel when it became aware of the entry of default on August 28, 2024, and then sent an immediate request for representation to Defendants' current counsel. (*Id.* ¶¶13-14.) Mr. Richter was not advised that his insurance carrier failed to retain counsel or that a default had been entered against REG until counsel so advised him. (Richter Decl. ¶10.)

Plaintiff opposes the motion, arguing that there are no grounds to grant the Defendant's motion because Defendant and its insurer had notice of the lawsuit. The Court disagrees. Defendant forwarded the complaint and related papers to his insurance broker within twenty-four hours of being served as he had done in previous litigation. His insurance broker followed her customary care and practice and forwarded the summons and complaint to the insurer, who confirmed receipt of the same. While a claims adjuster at the insurance company was waiting on a response from a law firm as

to representation, that adjuster left her employment. Thereafter, another claims adjuster took over the file but failed to realize that no representation had been secured until notice of default was received, and then immediately retained Defendant's current attorney.

REG has demonstrated that they acted in good faith to participate fully in the litigation from the moment he was served and that the failure to file an answer was due to mistake, inadvertence or excusable neglect in relying on its long-time insurance broker and prior custom in believing that providing his broker with the lawsuit would lead to his insurance company protecting his rights.

Accordingly, the motion is **GRANTED**; the Answer attached as Exhibit "A" to the original motion filed on 10/17/24 is ordered filed as Defendant REG's Answer to the Complaint.

The Clerk shall provide notice of the Ruling forthwith. The Court intends to sign the submitted (Proposed) Order.

WATKINS v STONE

24CV47717

PLAINTIFF'S MOTION FOR PRELIMINARY INJUNCTION AND OSC RE CONTEMPT

This case arises out of a business dispute between Plaintiff Terrilynn Watkins and Defendant Amber Stone. Now before the Court is Plaintiff's motion for preliminary injunction and order to show cause for violation of the Court's interim order.

Defendant has filed a "Response to Complaint and Counterclaim" but has not filed an opposition to the instant motions.

I. Factual and Procedural Background

On December 15, 2022, Plaintiff and Defendant incorporated Arnold Realty, Inc ("Arnold Realty") for the purpose of selling real estate in Arnold, CA. (Complaint ¶ 9.) Plaintiff and Defendant each own 50% of the available shares in Arnold Realty, with Plaintiff as the Chief Financial Officer and Secretary and Defendant the CEO. (Complaint ¶¶ 1,2.)

There was no formal partnership agreement between Plaintiff and Defendant but both members had equal access to all corporate accounts, including, but not limited to, the company Google Workspace, the company website (discoverarnold.com), and the company emails. (Complaint ¶ 10.) All, or almost all, business and administration for both Plaintiff's and Defendant's mutual and independent endeavors, including client communication, was conducted utilizing the company's Google Workspace and related email addresses. (Complaint ¶ 11.) This included Plaintiff's individual corporation, Terri Watkins Real Estate Services, whose client list is managed almost entirely utilizing terri@discoverarnold.com. (*Ibid.*)

While the partnership went smoothly at first, over time the parties disputed the direction of the business and things became less amicable. On or about September 20, 2024, Plaintiff discovered that she no longer had access to the Arnold Realty Instagram account or her company email account. (Complaint ¶ 19.) On September 21, 2024, Plaintiff learned that Defendant had removed company furniture, and that Plaintiff no longer had access to the Arnold Realty Google workspace, including access to the domain discoverarnold.com, Plaintiff's corporate email address, the administrative address for the company, and the official company email address utilized in communicating with business associates, agents, clients, and potential clients of Arnold